motion for summary judgment as to Omni.

Defendant's Objections to Plaintiff's Evidence

"In granting or denying a motion for summary judgment or summary adjudication, the court need rule only on those objections to evidence that it deems material to its disposition of the motion." (Code of Civ. Proc., § 437c, subd. (q).) Here, the Court finds that it need not rule on Plaintiff's objections or Defendants' objections as they are not material to the disposition of this MSJ. However, the Court overrules Defendants' objection to the declaration of Marshall Torres.

Ruling

The Court **GRANTS** Defendants' motion for summary judgment as to Omni Community Management LLC and **DENIES** Defendants' motion for summary judgment with respect to Crystyl Ranch Homeowners Association, Josh Bolin, and Daniel Mahoney.

4. 9:00 AM CASE NUMBER: C23-01403
CASE NAME: GUPTA VS. NATIONSTAR MORTGAGE
HEARING ON SUMMARY MOTION
FILED BY:
TENTATIVE RULING:*

Before the Court is Defendant Nationstar Mortgage, LLC ("Defendant" or "Nationstar")'s motion for summary judgment or in the alternative summary adjudication. The Motion relates to Plaintiff Praveen Gupta ("Plaintiff" or "Gupta")'s First Amended Complaint for (1) violation of CCP § 2923.6, (2) violation of CCP § 2923.7, (3) wrongful foreclosure, (4) quiet title (against Gregory Owen), and (5) violation of business and professions code § 17200.

In opposition, Plaintiff withdrew his first and second claim for violations of HBOR. For the following reasons, Defendant's motion with respect to Plaintiff's claims for wrongful foreclosure and violation of Business and Professions Code § 17200 is **granted**.

Request for Judicial Notice

Defendant requests Judicial Notice of several County Recorder documents. This Request is unopposed. The Request for Judicial Notice is **granted**. (Evid. Code §§ 452, 453; see also *Linda Vista Village San Diego Homeowner's Association, Inc. v. Tecolote Investors, LLC* (2015) 234 Cal.App.4th 166, 184 ["Judicial notice may be taken of the fact of a document's recordation, the date the document was recorded and executed, the parties to the transaction reflected in a recorded document, and the document's legally operative language, assuming there is no genuine dispute regarding the document's authenticity. From this, the court may deduce and rely upon the legal effect of the recorded document, when that effect is clear from its face."].)

Plaintiff requests Judicial Notice of the Declaration of Praveen Gupta in Support of Ex Parte Application for a Temporary Restraining Order filed on June 26, 2023 in this action. This Request is also unopposed. "A court may take judicial notice of the existence of each document in a court file, but can only take judicial notice of the truth of facts asserted in documents such as orders, findings of fact and conclusions of law, and judgments. [Citations.]" (*Garcia v. Sterling* (1985) 176 Cal.App.3d 17, 22.) Subject to those limitations, the request is **granted**.

Legal Standard

Summary judgment is proper "if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law." (Code Civ. Proc. § 437c(c).) Where a defendant seeks summary judgment or adjudication, he must show that either "one or more elements of the cause of action, even if not separately pleaded, cannot be established, or that there is a complete defense to that cause of action." (*Id*. at § 437c(o)(2).) A defendant may satisfy this burden by showing that the claim "cannot be established" because of the lack of evidence on some essential element of the claim. (*Union Bank v. Superior Court* (1995) 31 Cal.App.4th 574, 590.) Once the defendant meets this burden, the burden shifts to the plaintiff to show that a "triable issue of one or more material facts exists as to that cause of action or defense thereto." (*Ibid*.)

The moving party bears the initial burden of production to make a *prima facie* showing that there are no triable issues of material fact. (*Aguilar v. Atlantic Richfield Co*. (2001) 25 Cal.4th 826, 850.) A defendant moving for summary judgment must show either (1) that one or more elements of the cause of action cannot be established or (2) that there is a complete defense to that cause of action. (*Id*. at § 437c(p).)

Until the moving defendant has discharged its burden of proof, the opposing plaintiff has no burden to come forward with any evidence. Once the moving defendant has discharged its burden as to a particular cause of action, however, the plaintiff may defeat the motion by producing evidence showing that a triable issue of one or more material facts exists as to that cause of action. (*Id*. at § 437c(p)(2).) On a motion for summary judgment, the moving party's supporting documents are strictly construed and those of his opponent liberally construed, and doubts as to the propriety of summary judgment should be resolved against granting the motion. (*D'Amico v. Board of Medical Examiners* (1974) 11 Cal.3d 1, 21.)

Factual Background

The vast majority of facts in this case are undisputed.

Plaintiff Praveen Gupta refinanced the prior purchase of a property at 1704 Bridgeview Street, Pittsburg, CA 94565 (the "Subject Property"), with a loan ("Loan"), evidenced by a Note ("Note") from Lehman Brothers Bank, FSB, ("Lehman") on or about September 8, 2005. (UMF 1.) Securing the Note was a deed of trust ("DOT") encumbering the Subject Property and recorded as Document No. 2005-0353300 in the Official Records of the Contra Costa County Recorder's Office. (UMF 2.)

On or about July 2017, the beneficial interest in the 2005 Deed of Trust was assigned from Mortgage Electronic Registrations Systems, Inc. ("MERS') as nominee for Lehman to the following trust: HSBC Bank USA, NA., as trustee for the Structured Adjustable Rate Mortgage Loan Trust, Mortgage Pass Through Certificates, Series 2005-21 (the "HSBC Trust"), by way of a corporate assignment of deed of trust ("Assignment") with Nationstar as the servicer in fact, recorded on July 21, 2017, as Document No. 2017-9013054900002 in the Official Records of Contra Costa County. (UMF 4.)

On or about May 2018, the Borrower defaulted on his Loan obligations. A demand letter was sent noting that Mr. Gupta owed $10,240.49. (UMF 5.) On or about April 30, 2019, a Notice of Default was recorded in the official records of Contra Costa County to reflect the fact that Plaintiff had defaulted on his loan and had failed to cure his then $45,778.17 arrearage. (UMF 6.) The NOD contains the Declaration of Compliance with Civil Code Section 2923.5 and was recorded on April 30, 2019, as

Document No. 2019-006025800004 in the Official Records of Contra Costa. (UMF 7.) Plaintiff admits defaulting on his loan obligations. (UMF 8.)

As the servicer of the Loan, Nationstar began to work with Plaintiff to explore options to avoid foreclosure. (UMF 9.) Although Nationstar attempted to help Plaintiff avoid foreclosure, Plaintiff did nothing to tender to reinstate the loan. (UMF 10.)

Plaintiff submitted multiple loan modification applications, all of which were denied. (UMF 14, 15, 19, 21, 23, 24, 32, 33.) A Notice of Trustee's Sale ("NOTS") was recorded on January 19, 2023, as Document No. 2023-0005092 in the Official Records of Contra Costa. (UMF 30.) The NOTS was published and posted. (UMF 31.) Six days before the scheduled foreclosure sale, Plaintiff filed the underlying complaint for damages and equitable relief. (UMF 35.) His request for a TRO in connection with his complaint was denied. (UMF 36.)

The Property was foreclosed on June 14, 2023. (UMF 38.)

<u>Analysis</u>

<u>Wrongful Foreclosure</u>

Defendant moves for summary judgment on Plaintiff's wrongful foreclosure claim on the grounds that Plaintiff did nothing to tender to reinstate the loan and that there was no prejudicial irregularity in the foreclosure process.

"The basic elements of a tort cause of action for wrongful foreclosure track the elements of an equitable cause of faction to set aside a foreclosure sale." (*Miles v. Deutsche Bank National Trust Co*. (2015) 236 Cal.App.4th 394, 408.) "They are: '(1) the trustee or mortgagee caused an illegal, fraudulent, or willfully oppressive sale of real property pursuant to a power of sale in a mortgage or deed of trust; (2) the party attacking the sale (usually but not always the trustor or mortgagor) was prejudiced or harmed; and (3) in cases where the trustor or mortgagor challenges the sale, the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from tendering.'" (*Ibid*.) "[M]ere technical violations of the foreclosure process will not give rise to a tort claim; the foreclosure must have been entirely unauthorized on the facts of the case." (*Id*. at p. 409.) A plaintiff is "required to allege tender of the amount of … indebtedness in order to maintain any cause of action for irregularity in the sale procedure." (*Abdallah v. United Savings Bank* (1996) 43 Cal.App.4th 1101, 1109.)

In opposition, Plaintiff argues that "Plaintiff's claim for wrongful foreclosure is a legal claim for damages and Plaintiff is not requesting equitable relief. ... Therefore, since Plaintiff is not seeking equitable relief by way of setting aside a foreclosure sale, Plaintiff should not be required to 'do equity' by tendering any amount of indebtedness." (Opp. at 5:9-12.) This is not the law. The tender rule applies equally to damage claims. Although based upon equitable principles, the requirement that the borrower tender the amount of the indebtedness is not limited to equitable set-aside actions; it has also been found applicable to legal claims for damages for wrongful foreclosure. (See, e.g., *Chavez v. Indymac Mortgage Services* (2019) 219 Cal.App.4th 1052, 1062; *Shuster v. BAC Home Loans Servicing, LP* (2012) 211 Cal.App.4th 505, 512; *Abdallah*, *supra*, at p. 1109.)

The element of tender is not required in at least four discrete situations, namely, where (1) the challenge is to the validity of the underlying indebtedness, (2) the person challenging the sale is asserting a counterclaim or setoff against the beneficiary, (3) it would be inequitable to impose the condition, or (4) the trustee's deed of sale is void. (*Lona*, *supra*, at pp. 112-113). None of those exceptions apply here. Even if the sale were improperly noticed, that would make the sale voidable and still subject to the tender requirement. (*Id*. at p. 112 ["[A]s a condition precedent to an action by the borrower to set aside the trustee's sale on the ground that the sale is voidable because of irregularities in the sale notice or procedure, the borrower must offer to pay the full amount of the debt for which the property was security."].)

Plaintiff also argues that a question of fact remains as to whether the sale was properly conducted, specifically arguing that there is a dispute of fact as to whether Plaintiff received notice of his fourth loan modification denial. While it is undisputed that Nationstar sent a letter denying Plaintiff's fourth application for a loan modification (Nationstar Decl. at ¶ 27, Exs. 20, 21), Plaintiff testified that he did not receive the letter (Pomeroy Decl. at Ex. FF [Gupta Depo.] at 97:4) and counsel for Plaintiff also submitted testimony that she did not receive the denial letter (Shapero Decl. at ¶ 8.) Construing the evidence in favor of Plaintiff, at best this presents a "mere technical violation[] of the foreclosure process," if that. Indeed, the Court presumes that Plaintiff had knowledge of Nationstar's denial given that he filed his Complaint on June 8, 2023 and moved for a temporary restraining order to enjoin the foreclosure sale. Plaintiff has not demonstrated a genuine dispute of material fact with respect to the procedural regularity of the foreclosure process.

Defendant is entitled to summary adjudication on Plaintiff's claim for wrongful foreclosure.

Business & Professions Code § 17200

Finally, Defendant moves for summary adjudication on Plaintiff's 17200 claim on several grounds.

California's unfair competition law (UCL), Cal. Bus. & Prof. Code § 17200 *et seq*., prohibits unfair competition, which is defined as any unlawful, unfair or fraudulent business act or practice. § 17200. A claim may be brought under the UCL by a person who has suffered injury in fact and has lost money or property as a result of unfair competition. (Bus. & Prof. Code § 17204.) Therefore, to establish standing under the UCL, a plaintiff must (1) establish a loss or deprivation of money sufficient to qualify as injury in fact, *i.e*., economic injury, and (2) show that the economic injury was the result of, *i.e*., caused by, the unfair business practice that is the gravamen of the claim. (See *Kwikset Corp. v. Superior Court* (2011) 51 Cal.4th 310, 337 ("*Kwikset*").) Restitution is the only form of damages available under the UCL. (See *Korea Supply Co. v. Lockheed Martin Corp*. (2002) 29 Cal.4th 1134, 1147.)

Here, the FAC specifically predicates Plaintiff's 17200 claim on the alleged violations of HBOR in his first and second causes of action. (FAC at ¶ 52.) However, Plaintiff explicitly withdrew those causes of action in opposition. Furthermore, as discussed above, he has not demonstrated a genuine dispute of material fact with respect to his wrongful foreclosure claim.

Defendant is entitled to summary adjudication on Plaintiff's UCL claim.

Evidentiary Objections

The Court rules only on those objections material to the Court's ruling on the motion for summary judgment. (Code Civ. Proc. § 437c(q).) Here, there were none.

5. 9:00 AM CASE NUMBER: C24-02221
CASE NAME: JOHN ROE A.H. VS. WEST CONTRA COSTA UNIFIED SCHOOL DISTRICT, PUBLIC ENTITY
***HEARING ON MOTION FOR DISCOVERY SILICON VALLEY MONTEREY BAY, SCOUTING AMERICA'S COMPLIANCE WITH SUBPOENA FOR PRODUCTION OF BUSINESS RECORDS**
FILED BY: ROE A.H., JOHN